

FINANCIAL YEAR 2016
—
BUSINESS AND FINANCIAL REPORT

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1. Overview of Business & Strategic Initiatives
2. Macro Economic Environment
3. Financial Performance
4. Corporate Social Responsibility (CSR)

1. Who we are

- Our Business
- Our Strategy

About Britam Holdings Limited

Britam is a leading diversified financial services group, listed on the Nairobi Securities Exchange. The group has interests across the Eastern and Southern Africa region, with operations in Kenya, Uganda, Tanzania, Rwanda, South Sudan, Mozambique and Malawi. The group offers a wide range of financial products and services in Insurance, Asset Management, Banking and Property.

Vision, Mission and Values



MISSION

“Providing you with financial security EVERY STEP OF THE WAY”



VISION

“To be the LEADING diversified financial services company in our chosen markets across Africa”



BRAND
POSITION

“With you every step of the way”



VALUES



Respect



Innovation

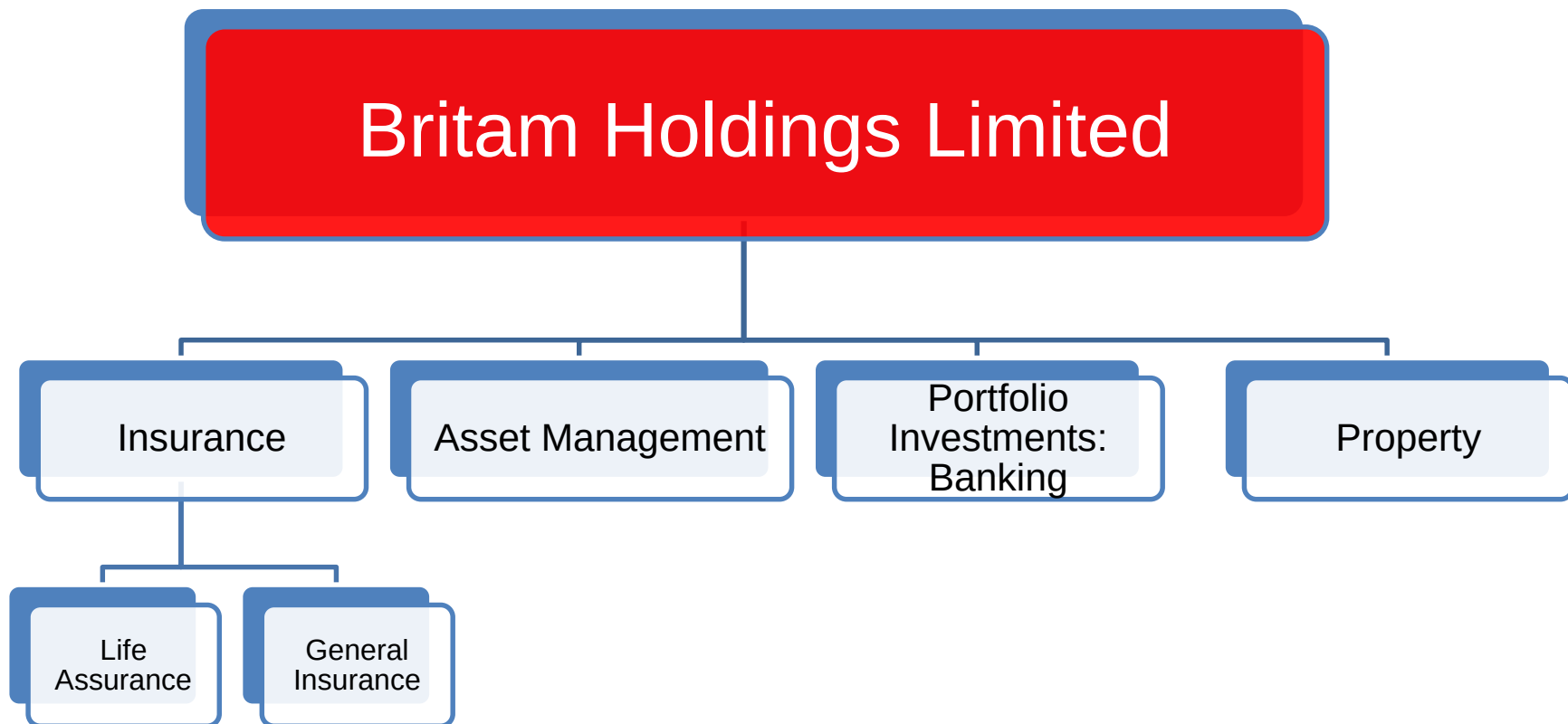


Integrity

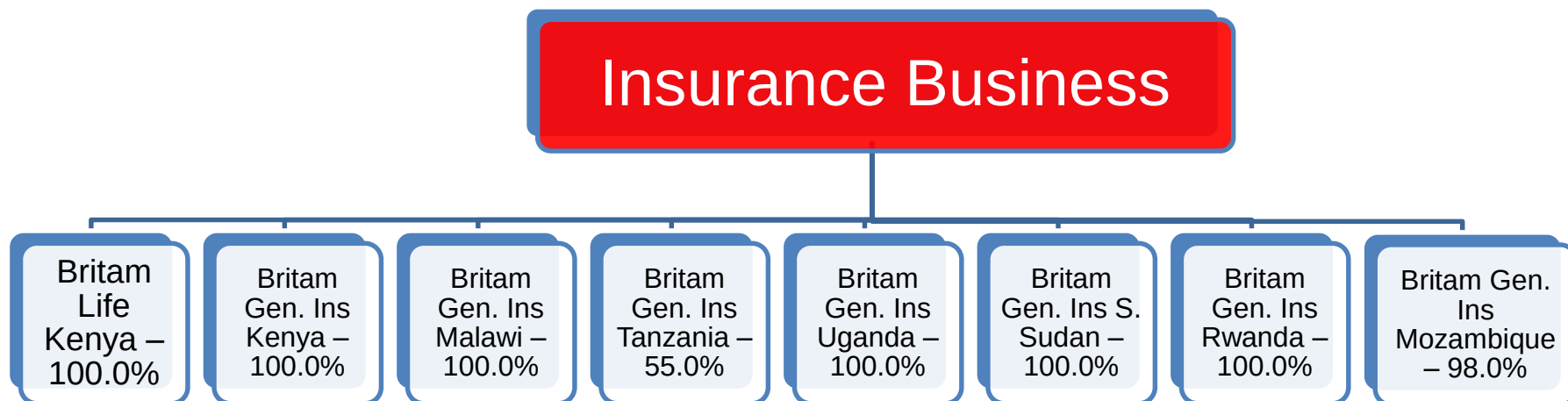


Customer Focus

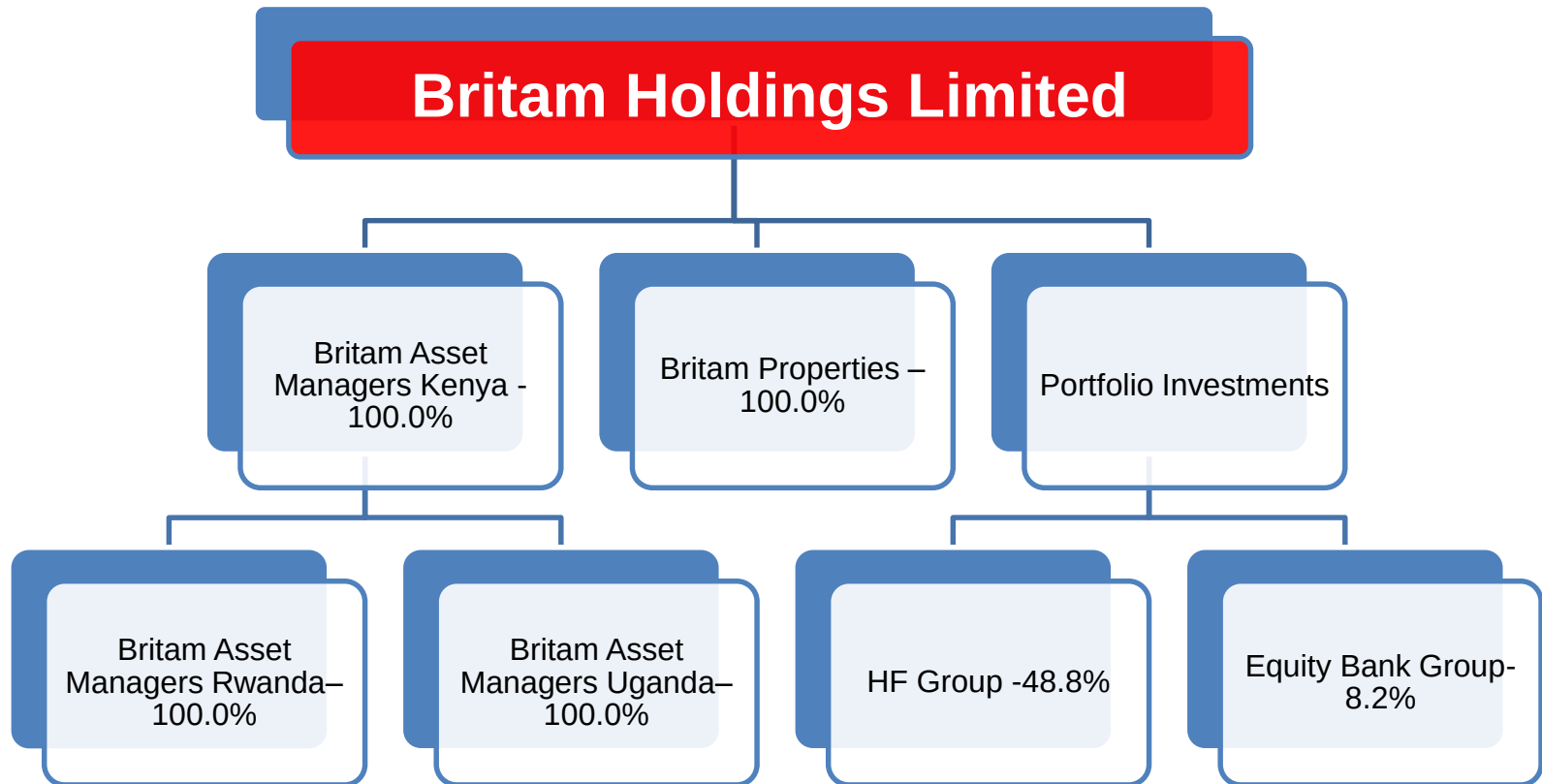
Our Group Structure



Our Insurance Business



Our Other Businesses





Britam Footprint

- Kenya
- Uganda
- Tanzania
- Rwanda
- South Sudan
- Mozambique
- Malawi

1. Overview

- Our Business
- Our Strategy

Key successes over the last strategic period



Britam

With you every step of the way

2016 - 2020 Strategy

Go for **GOLD**



Group 2016 – 2020 Strategy: Key Strategic Pillars



PROFITABLE GROWTH



CUSTOMER SERVICE



INNOVATION

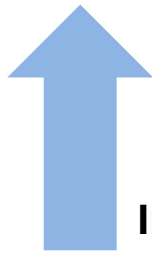


OPERATIONAL EXCELLENCE



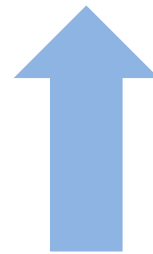
ENABLING TRANSFORMATION

Our Targets Over this Strategic Period

 **25%**
Increase in revenue

 **20%**
Cost-to-income ratio

 **20%**
Revenue contribution from
entities outside Kenya

 **15%**
Profit contribution of non-
insurance

 **Increase in
diversification**

 **Increase in customer
numbers**

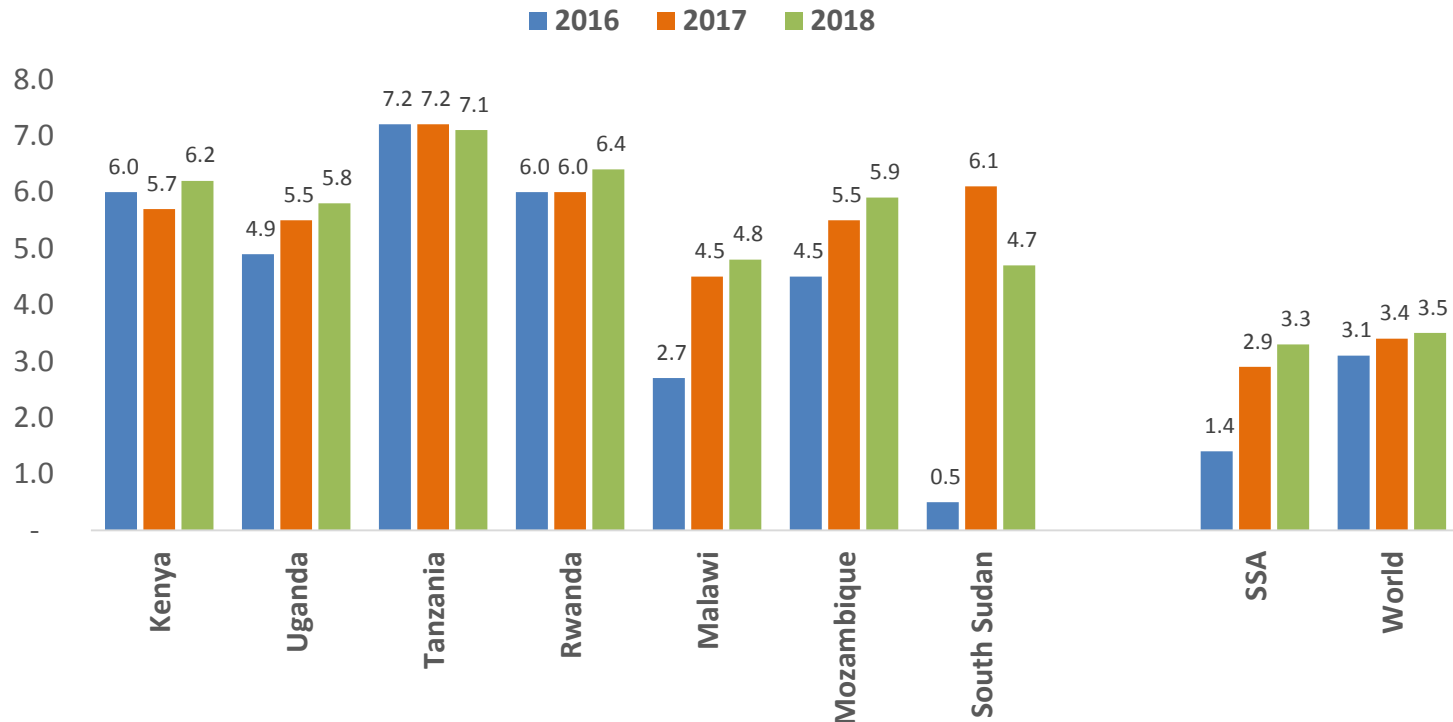
2. Macro Economic Environment

- **GDP review**
- **NSE performance review**
- **Insurance industry highlights**
- **Regulatory update**

GDP Review

The East African economies expected to outperform the Sub-Saharan economies

GDP growth forecasts for economies where Britam is domiciled



Source: IMF WEO Jan 2017

NSE 20 Index has shed 20.7% YTD while NASI is down 9.0%



Industry Highlights

- **Insurance**
 - Insurance penetration slowed down to 2.77% in 2016 from 2.82% in 2015. Life insurance penetration at 0.997% with Non-life insurance at 1.775%.
 - Gross Written Premiums increased by 12.3% in 2016 compared to 9.9% growth in 2015, driven by growth in life sector. Life insurance is growing faster (19.3%) compared to Non-life (8.5%).
- **Asset Management**
 - We are market leaders in unit trust
 - Stellar growth of our AUM now at Shs 109bn.
- **Innovation**
 - Bancassurance is growing and the regulator has developed guidelines to support its growth.
 - Industry is also leveraging on technology to develop innovative distribution channels.
- **Britam's leadership**
 - Britam is the largest life insurer in Kenya with 23.51% market share, according to IRA's Q4 2016 statistics.

Regulatory Update

- In complying with the Insurance Act, Britam adopted the Risk Based Capital (RBC) regulations since June 2016 for both its General and Life businesses operating in Kenya.
- **Insurance Regulatory Authority (IRA)** – Introduced RBC regulations in 2016 via a change of law and supporting guidelines.
- **Risk Based Capital (RBC)** – This is the required capital to support an insurance company and is based on the level/amount of risks that a company faces.
- Change in valuation of long term(life) insurance liabilities, from Net Premium Valuation(NPV) to Gross Premium Valuation (GPV)

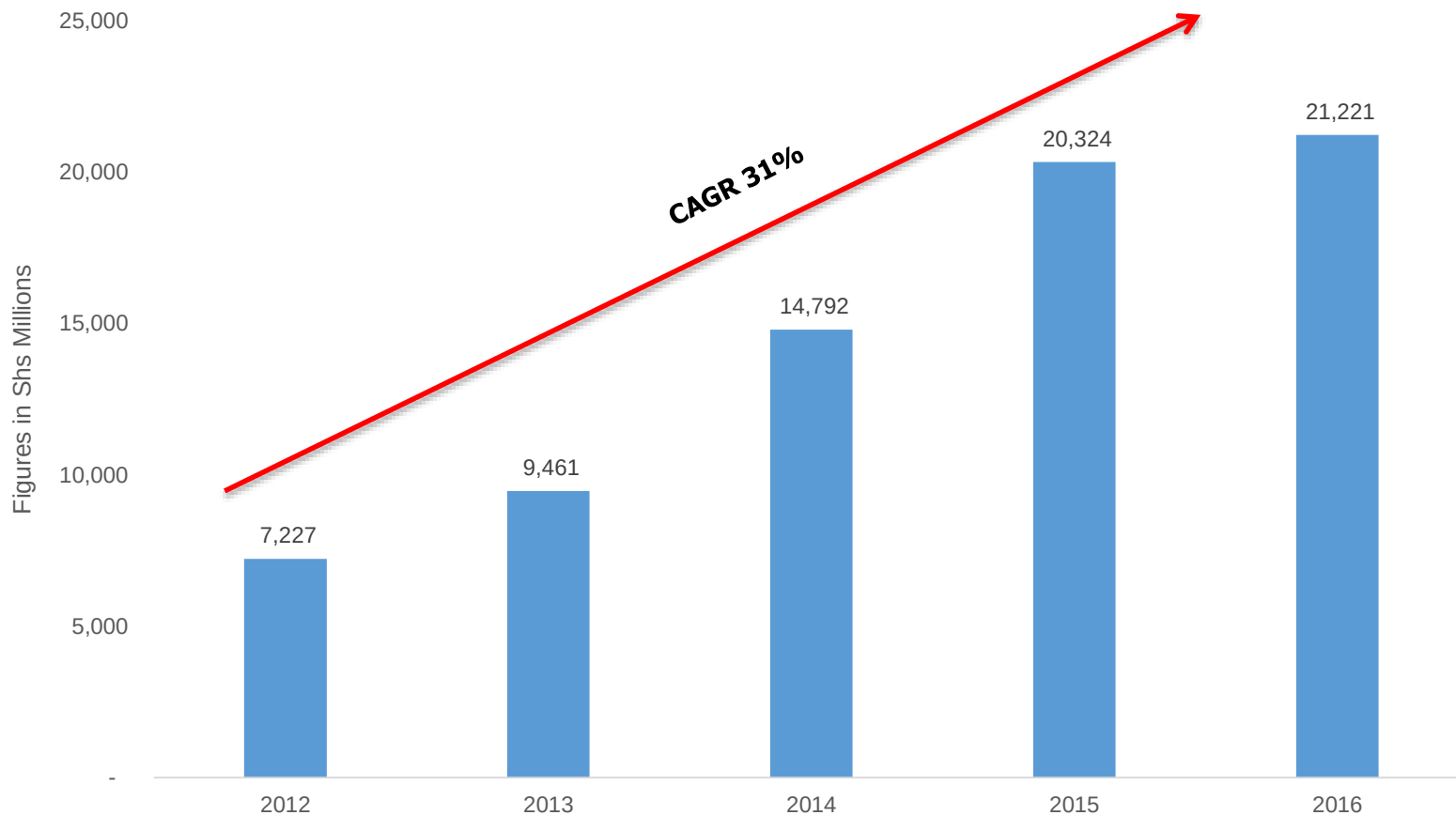
3. Group Financial Performance

Our strategy continues to yield growth

KPI (Shs million)	FY16	FY15	% Growth	
Gross Earned Premiums	20,292	19,606	3%	↑
Fund management fees	929	719	29%	↑
Investment Income	5,224	4,340	20%	↑
PBT	4,239	(1,194)	455%	↑
Total Comprehensive Income/(loss)	785	(3,183)	125%	↑

Steady revenue growth for the past 5 Years

Gross earned premium and fund management fees

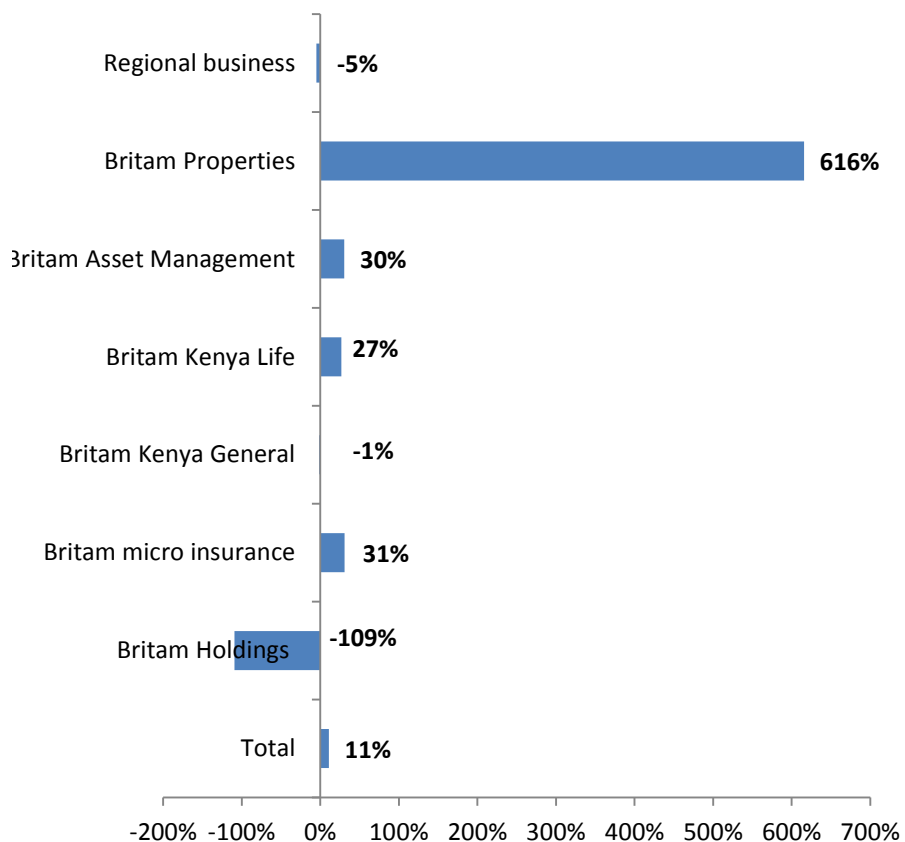


Statement of comprehensive income – Total Income grew by 11%

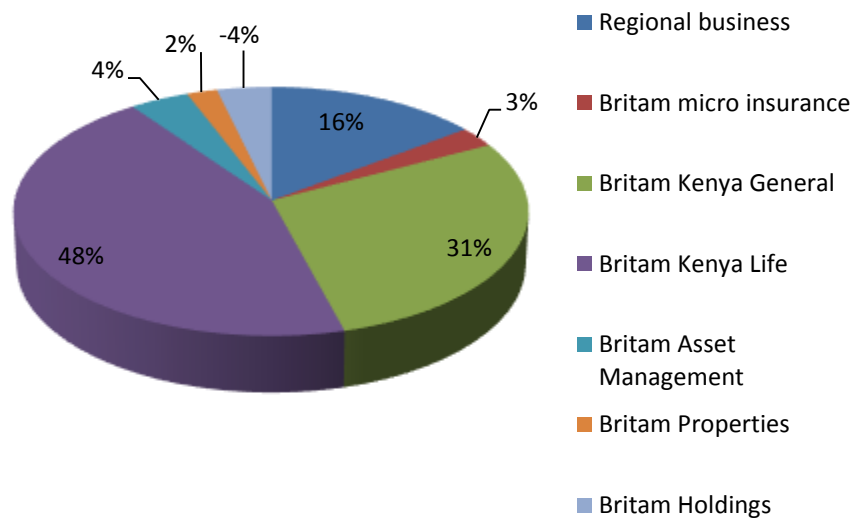
Income statement	Dec' 2016 Shs Million	Dec' 2015 Shs Million	Growth %
Gross earned premium	20,292	19,606	3%
Less Reinsurance premium ceded	(2,898)	(3,231)	(10%)
Net earned premium	17,394	16,375	6%
Fund management fees	929	718	29%
Financial assets fair value changes	(2,412)	(2,626)	(8%)
Investment income	5,224	4,340	20%
Commissions earned	719	735	(2%)
Other Income	507	589	(14%)
Total Income	22,360	20,131	11%
Net insurance benefits & claims	5,001	10,614	(53%)
Interest payments/increase in unit value	1,743	496	252%
Commission payable	3,547	3,292	8%
Operating expenses	7,095	6,717	6%
Finance costs	1,177	802	47%
Share of profit of associates	442	595	(26%)
Profit before tax	4,239	(1,195)	455%
Income tax	(1,759)	185	(1,048%)
Profit after tax	2,480	(1,010)	346%
Other comprehensive income	(1,696)	(2,174)	22%
Total comprehensive Income	785	(3,184)	125%

Total income grew by 11%

Total income growth



Total income distribution



Overall Gross Earned Insurance revenues growth rate at 3% from Shs 19.6B in 2015 to Shs 20.3B in 2016

Net Earned premiums 77.8% of Group total revenue – Shs 17.4 Billion



Kenyan Insurance business

**82% of gross earned premiums
- Shs 16.6 Billion**

Regional insurance business 18% of gross earned premiums – Shs 3.6 Billion



**Kenya Life Business
43.4% -
Shs 8.8B**



**Kenya General Business
38.6% -
Shs 7.8B**



**Britam Tanzania
5.3%
Shs 1.1B**



**Britam Mozambique
1.7%
Shs 339M**



**Britam Malawi
2.7%
Shs 553M**



**Britam S.Sudan
2.3%
Shs 464M**



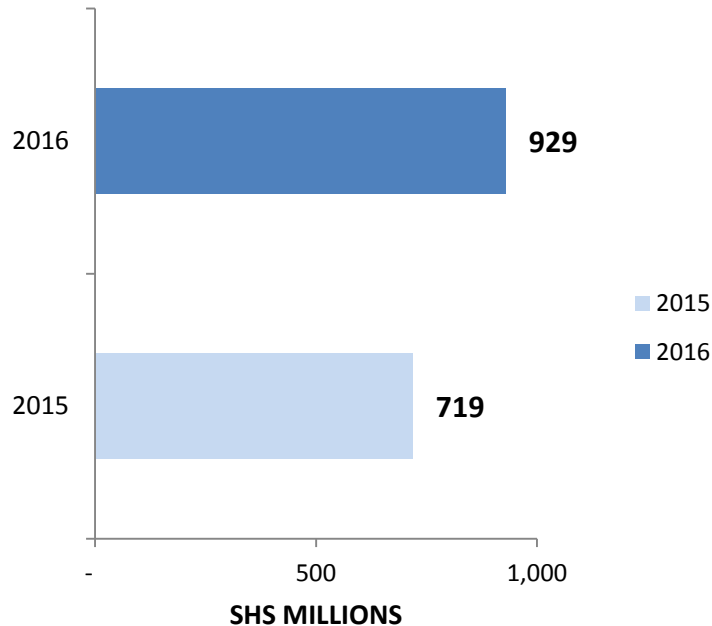
**Britam Uganda
4.1%
Shs 838M**



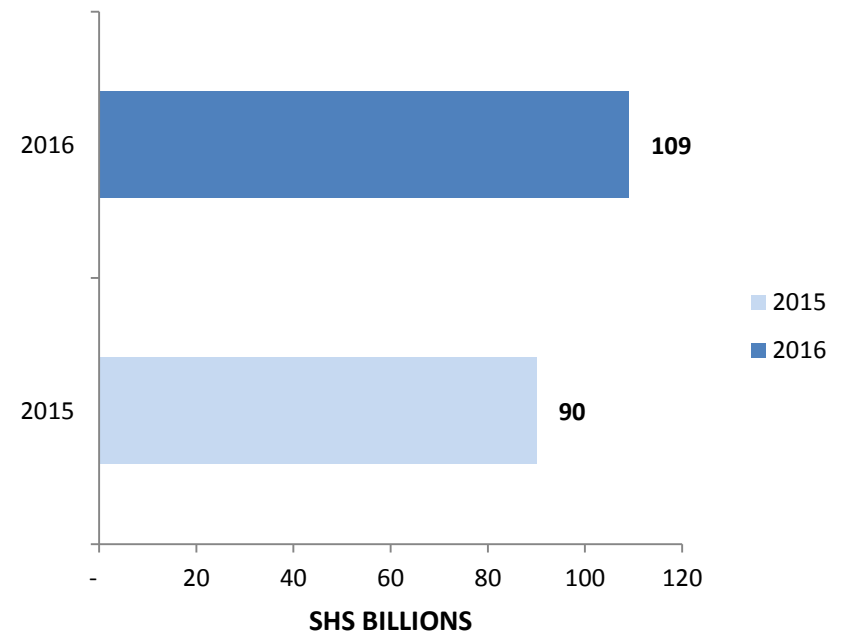
**Britam Rwanda
1.9%
Shs 379 M**

AUM recorded a 20.4% growth in 2016

Fund management fees

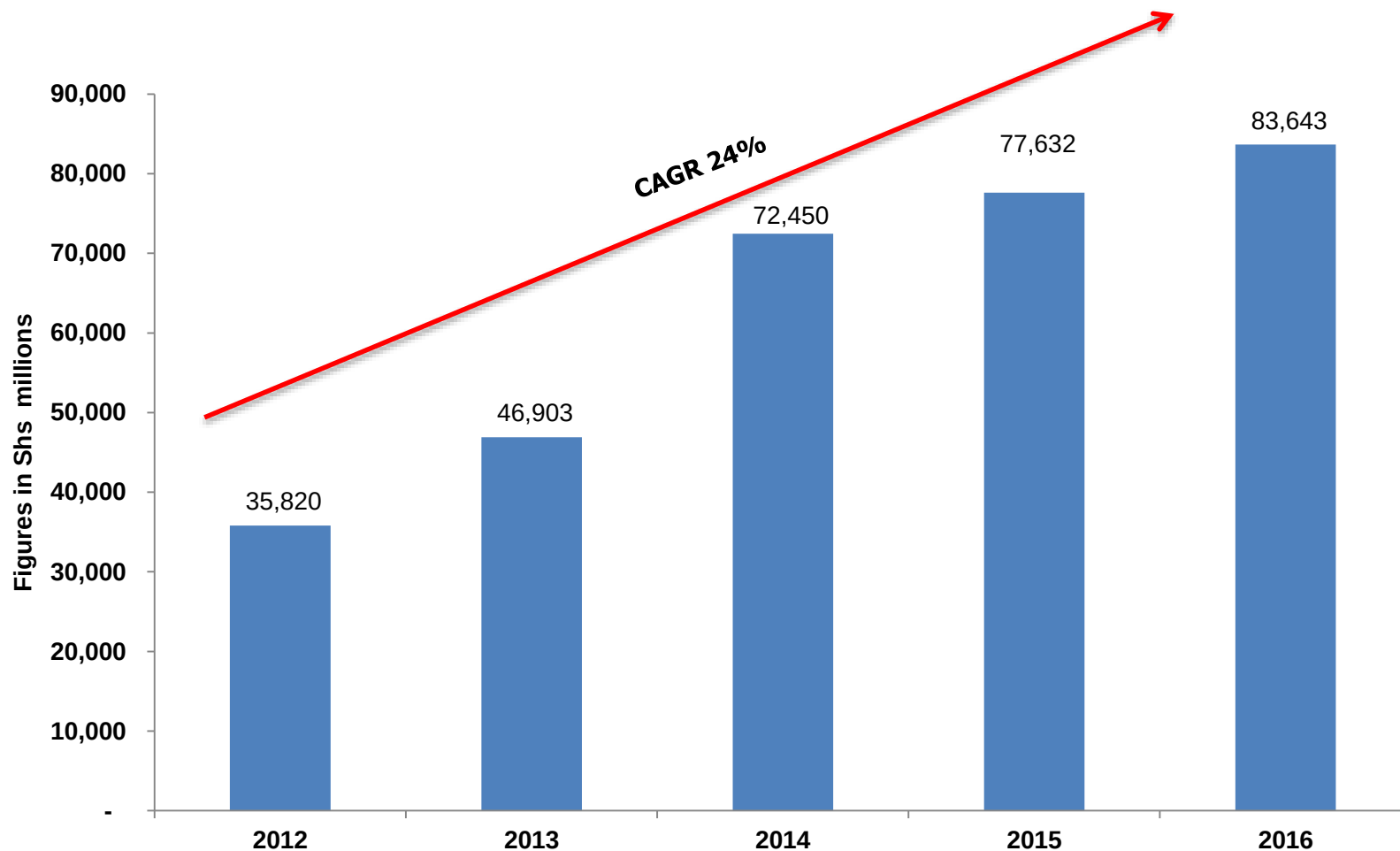


Assets Under Management



- Growth in fee income driven by a 20.4% growth in AUMs and performance fees
- Growth in AUM by driven by acquisition of new mandates in line with the company's strategy of growing the pension portfolio as well as growth in the internal products.

Total assets YTD at Shs 83.6b – 8% growth in 2016



Embedded Value

	Dec-16	Dec-15	Growth
	Shs 000s	Shs 000s	%
Adjusted Net Worth (ANW)	6,453,340	4,484,936	44%
Value of Inforce (VIF)	4,640,037	6,056,059	-21%
Embedded Value:	11,093,377	10,540,993	7%
Return on EV:	7.2%	11.4%	-3%
Value of New Business (VNB)	563,164	464,740	24%

4. Corporate Social Responsibility (CSR)



Britam has so far contributed Shs 20 million to support the Beyond Zero Campaign spearheaded by First Lady Margaret Kenyatta.



For the second year running, Britam was the main sponsor of the Britam Kenya Open Tennis tournament.



Britam was the title sponsor of the 2016 Kenya National Drama Festival hosted jointly with the Ministry of Education, Science, and Technology at the Meru School.



Britam was the main sponsor of the 2016 "Britam Kenya Guineas" race day, held at the Ngong Racecourse.

THANK YOU

With you every step of the way

KENYA | UGANDA | TANZANIA | RWANDA
SOUTH SUDAN | MOZAMBIQUE | MALAWI